BEFORE THE
STATE OF NEW YORK
PUBLIC SERVICE COMMISSION

Proceeding on Motion of the Commission as to the Rates, Charges, Rules and Regulations of Consolidated Edison Company of New York, Inc. for Gas Service.

25-G-XXXX

January 2025

Prepared Testimony of:

Gas Infrastructure and

Operations Panel

Mary Kelly
4 Irving Place
New York, New York 10003

Amr Hassan
4 Irving Place
New York, New York 10003

Robert Massoni
4 Irving Place
New York, New York 10003

Christine Cummings
4 Irving Place
New York, New York 10003

Victoria Weidemann
1560 Bruckner Boulevard
Bronx, New York 10473

CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
DIRECT TESTIMONY OF GAS INFRASTRUCTURE AND OPERATIONS PANEL

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CONSOLIDATED EDISON COMPANY OF NEW YORK, INC.
DIRECT TESTIMONY OF GAS INFRASTRUCTURE AND OPERATIONS PANEL

I. Introduction

A. Introduction and Qualifications of Panel Members

Q. Would the members of the Gas Infrastructure and Operations Panel ("GIOP" or "Panel") please state your names and business addresses?

A. Our names are Mary Kelly, Amr Hassan, Robert Massoni, Christine Cummings and Victoria Weidemann.

The business address for Ms. Kelly, Mr. Hassan, Mr. Massoni and Ms. Cummings is 4 Irving Place, New York, New York 10003. The business address for Mrs. Weidemann is 1560 Bruckner Boulevard, Bronx, New York 10473.

Q. By whom are the Panel members employed?

A. We are employed by Consolidated Edison Company of New York, Inc. ("Con Edison" or the "Company").

Q. In what capacity are the Panel members employed?

A. **(Kelly)** I am the Senior Vice President of Gas Operations.

(Hassan) I am the Vice President of Gas Engineering.

(Massoni) I am the Vice President of Gas Operations.

(Cummings) I am the General Manager of Project Management and Customer Programs.

(Weidemann) I am the General Manager of Gas Operations in the Bronx.

Q. Please state your educational background.

A. **(Kelly)** I hold a bachelor's degree in Mechanical Engineering from Lehigh University, and a Master of Business Administration from Fordham University. I have also completed the PTI transmission course.

(Hassan) I hold a bachelor's degree in Mechanical Engineering from the Cooper Union, and a Master of Business Administration in Finance from NYU Stern. I have also completed GTI's Registered Gas Distribution Professional Course.

(Massoni) I hold a bachelor's degree in Business Management from the University of Phoenix.

(Cummings) I hold a Bachelor of Science degree in Economics from Queens College. I have also completed GTI's Registered Gas Distribution Professional Course.

(Weidemann) I hold a Bachelor of Science in Environmental Science from the University at Buffalo and a Master of Science in Construction Management from New York University – Tandon School of Engineering.

Q. Please describe your work experience and current responsibilities.

A. **(Kelly)** In 1990, I joined the Company's Corporate Intern Program and have since held positions of increasing responsibility in Gas Operations, Construction, IT, and Human Resources. In 2014, I was promoted to Vice President of Construction. In 2016, I became the Vice President of Gas Engineering. In 2017, I was promoted to

Senior Vice President of Corporate Share Services. Effective January 1, 2025, I assumed my current position as Senior Vice President of Gas Operations. In my current position as Senior Vice President of Gas Operations, I am responsible for the overall Con Edison Gas Operations, Engineering and Compliance and Quality Assessment groups.

(Hassan) In 1993, I joined the Company's Corporate Intern Program and have since held various positions of increasing responsibility mainly in Gas Operations, with some assignments in Energy Management and Corporate Planning. In January 2013, I was promoted to General Manager Gas Operations, where I was responsible for the Construction and Distribution Services groups in regions of our service territory. In November 2019, I became the Chief Distribution Engineer, and in September 2021, I assumed my current position as Vice President of Gas Engineering. In my current position I am responsible for the Technical Operations, Project Management & Customer Programs, System Planning & Control, Gas Distribution Engineering and Gas Transmission Engineering groups.

(Massoni) In 1981, I joined the Company as a member of the union and have since held various positions of increasing responsibility in Central Operations, Shared Services and Gas Operations. In March 2011, I was promoted to General Manager of Astoria Operations, where I was responsible for several groups

including the Logistics Operations Control Center responsible for supporting the Company operating groups during storm response and recovery. In January 2016, I was assigned to Bronx Gas Operations as the General Manager, and then in December 2017, moved to Manhattan as the General Manager of Gas Operations. In May 2024, I assumed my current position as Vice President of Gas Operations. In my current position as Vice President of Gas Operations I am responsible for leading and managing both Company employees and contractor personnel in the safe and effective execution of, primarily, the following work: leak response, leak repair, compliance inspections, main replacement, and service installations.

(Cummings) In 2001, I joined the Company as a Management Associate following a previous career in global transportation, including roles in auditing and compliance, customer service, and corporate training. Since joining the Company, I have held various positions of increasing responsibility in Government Relations (Corporate Affairs) and the Gas Conversion Group. In January 2015, I was promoted to Director of the Gas Conversions Group. In 2018, I assumed my current position of General Manager of the Project Management and Customer Programs group. In my current position I am responsible for the overall management of the capital projects and programs and for leading and managing the Company's program to connect customers. As such, I am

responsible for the engineering, operations planning, and customer liaison activities related to customer connections and safety-related inspection programs in customers' premises.

(Weidemann) In 1997, I joined the Company as a Management Associate and held various positions of increasing responsibility in Manhattan Gas Operations, Gas Environmental and Safety, Bronx Gas Operations, Bronx/Westchester Construction Management, Gas Engineering Standards and Regulatory Issues Group, and Orange and Rockland Gas Contract Administration Group. In December 2023, I was promoted to my current position as General Manager of Gas Operations in the Bronx.

Q. Do you belong to any professional organizations?

A. **(Kelly)** Yes, I am a member of the Board of I-GIT ("Institute of Gas Innovation and Technology") with Stony Brook University, the Board of the Northeast Gas Association ("NGA") and the American Gas Association ("AGA") Leadership Council. I am engaged in research and development ("R&D") initiatives, most notably the Electric Power Research Institute ("EPRI")- GTI Energy Low Carbon Resources Initiatives. I am a member of the Society of Gas Lighting ("SOGL").

(Hassan) Yes, I am a member of the Operations Management Committee ("OMC") of the AGA, AGA Executive Pipeline Safety Management System ("PSMS") Committee and the GTI Operations Technology Development ("OTD") Board.

(Massoni) Yes, I am a member of the NGA Operation Managing Committee and SOGL.

(**Cummings**) Yes, I am currently a member of Women in Communications and Energy and a committee member of the AGA.

(Weidemann) Yes, I am a member of the AGA Construction Committee and the Society of Gas Operators.

Q. Have any members of the Panel previously testified before the New York State Public Service Commission ("PSC" or "Commission")?

A. **(Kelly)** Yes, I testified before the Commission in the Company's last electric rate case proceeding as part of the Electric Policy Panel (Case 22-E-0064) and in a previous gas rate case proceeding as part of the Gas Infrastructure Operations Panel (Case 16-G-0061).

(Hassan) Yes, I testified before the Commission in the Company's last gas rate case proceeding as part of the Gas Infrastructure Operations and Supply Panel (Case 22-G-0065).

(Massoni) Yes, I testified before the Commission in the Company's last gas rate case proceeding as part of the Gas Infrastructure Operations and Supply Panel (Case 22-G-0065).

(Cummings) Yes, I testified before the Commission in previous gas rate case proceedings as part of the Gas Infrastructure and Operations Panel (Case 13-G-0031, Case 16-G-0061, Case 19-G-0066 and Case 22-G-0065).

(Weidemann) No, I have not testified previously before the Commission.

B. Purpose of Filing

Q. Please summarize and briefly explain the purpose of the Panel's testimony.

A. Con Edison recognizes that use of its gas system must change over time in response to State policy. We will manage this transition and continue to provide safe, reliable and resilient service to our 1.1 million existing customers. We will explain how our Gas Infrastructure Replacement and Reduction Program ("GIRRP") not only provides important safety benefits, but also is an important contributor to reducing methane emissions. Additionally, we are recommending changes to the gas tariff to align with safety related inspections and meter relocation programs. While we expect use of our gas system to decrease, we must make the investments necessary to continue to operate a safe gas system. Accordingly, this panel will discuss the importance of, and overall need for, infrastructure, operations, and technology investments to enhance safety. We emphasize here that the overwhelming majority of our gas capital investments are devoted to making our gas system safer, and we understand this is our core responsibility. We will also continue to serve our customers reliably, including pursuant to State law, any new customers who choose gas notwithstanding our electrification

education and incentive programs. Finally, the Panel recommends the continuation of most of our current performance measures, with some modifications to better align the performance measures with the work the Company plans to undertake.

Q. Is the Company proposing any Information Technology ("IT") investments related to this panel?

A. Yes, the Panel is proposing five IT-related projects to support the Company's business goals.

Q. Will you be discussing them here?

A. Only briefly and for the purpose of explaining how they support our business. More information about them can be found in white papers included in Exhibit ___ (GIOP-1). The IT Panel will also discuss six additional IT projects that support the Gas business. Information about them can be found in Exhibit (ITP-1).

Q. What period does your testimony cover?

A. Our testimony covers the 12-month period ending December 31, 2026 ("Rate Year," "Rate Year 1," or "RY1"), the 12-month period ending December 31, 2027 ("Rate Year 2" or "RY2,"), and the 12-month period ending December 31, 2028, ("Rate Year 3" or "RY3"). The Company has proposed a rate plan for RY1 only but, as the Accounting Panel explains, is interested in pursuing a multi-year rate plan in settlement discussions with Staff and interested parties. We have provided RY2 and RY3 data for the purpose of facilitating any such discussions.

C. Testimony Format

Q. How is the rest of your testimony organized?

A. Following the Introduction, the testimony first will address the various projects and programs the Company plans to undertake during RY1-RY3, as well as their estimated costs. These projects and programs are broken down into the main areas set forth below:

- Distribution System Improvement Programs;
- Transmission Programs and Projects;
- Natural Gas Detectors;
- Customer Connections;
- Technical Operations; and
- Gas Information Technology.

The Panel will then discuss the additional full time equivalent ("FTE") positions needed to implement the projects and programs described in our testimony and execute on the Company's goals. Next, the Panel will describe proposed modifications to existing gas safety performance measures.

The Panel will then address various proposed tariff revisions. Finally, the Panel will discuss other important issues related to gas infrastructure and operations.

Q. Will you be introducing any exhibits as part of your testimony?

A. Yes, we will be introducing the following exhibits:

- Exhibit ___ (GIOP-1) - Gas Operations' capital expenditures for RY1-RY3; and

- Exhibit ___ (GIOP-2) - Gas Operations' incremental O&M expenditures, compared to the 12-month period ended September 30, 2024;
- Exhibit ___ (GIOP-3) – Gas Operations' additional FTE; and
- Exhibit ___ (GIOP-4) – Performance Measure Modifications.

D. System Description

Q. Why is the Company's gas infrastructure important to its customers and its service territory?

A. The Company's gas infrastructure is essential for ensuring a reliable and safe energy supply, supporting economic stability while also preparing for future energy transitions. By maintaining and replacing this infrastructure as needed, the Company can reduce methane emissions, which aligns with broader environmental goals and helps pave the way for integrating more sustainable energy sources in the future.

Q. Please provide a high-level overview of the Company's natural gas transmission and distribution system.

A. A gas distributor since 1823, Con Edison currently provides natural gas service to more than 1.1 million customers in Manhattan, the Bronx, parts of Queens, and Westchester County. Con Edison manages a large, complex underground natural gas transmission and distribution system. This system contains approximately 4,450 total miles of gas main with approximately 381,000 service pipes that transport more than 339 million dekatherms of natural gas each year. And on January 20th, 2024, we broke a record in peak throughput on the system demonstrating the

continued reliance on this system for our customers' energy needs. The approximately 4,450 miles of gas mains consist of 100 miles of mains operating at pressures greater than 125 psig and 4,350 miles of distribution mains operating at pressures less than 100 psig. Approximately 300 miles are large-diameter distribution mains, greater than or equal to 16 inches that mostly connect the transmission mains to approximately 4,000 miles of smaller-diameter distribution mains.

Q. What are the Company's general considerations when designing its gas system?

A. We design our gas transmission and distribution system to meet state and federal gas safety requirements and the load requirements of all firm customers 365 days per year, 24 hours per day, based on the forecasted peak hourly load.

Q. Why does the Company need to replace infrastructure from time to time?

A. The Company's primary replacement objectives are to reduce risk, maintain safety, enhance reliability and resilience, and reduce fugitive methane emissions from the distribution system. By replacing leak prone pipe, we reduce the number of cracks and occurrence of corrosion that could cause methane leaks. This provides an obvious safety advantage, reduces outages caused by flooding and as discussed earlier, reduces emissions. Additionally, certain work, such as the transmission replacement

projects, are required for regulatory compliance, in addition to risk mitigation.

Q. Is the Company concerned about wildfire risk?

A. Yes. While we are thankful not to have experienced the devastating wildfires that continue to occur in the western part of the country, we have seen wildfires approaching the service territory in recent years with significant wildfires in New York and New Jersey. Just this past fall the Jennings Creek wildfire burned roughly 5,000 acres along the border of New York and New Jersey. This fire occurred as the area experienced a 20-year drought and 35 MPH gusts of wind. In prior years significant wildfires occurred as near as New Jersey. In 2023 Canada was affected by wildfires in all 13 provinces and territories. In Quebec province alone over 13 million acres burned. These fires were significant enough to impact air quality not only in Canada, but along the entire east coast of the United States.

Q. Is the Company proposing anything to address the wildfire risk?

A. Yes. Any effort to mitigate wildfires would need to be in collaboration with State and Municipal agencies. A Company response may include isolating gas service in areas impacted by fires, similar to actions we take now during other emergency response. However there are many other things to consider which is why we believe there is an opportunity now to discuss changes

to both Company and regulatory policy so we are all prepared should a wildfire event occur that needs decisive action.

II. Project and Program Discussion

A. Summary Information

Q. How much capital investment for gas infrastructure and operations are you proposing?

A. We are proposing to invest $952 million in RY1, $924 million in RY2, and $925 million in RY3, excluding Municipal Infrastructure expenditures.

Q. How much additional O&M are you proposing for gas infrastructure and operations?

A. We are proposing to spend $192 million in RY1, $192 million in RY2 and $192 million in RY3. Of these amounts, O&M program changes account for a $2.5 million increase in RY1.

Q. Was the document entitled "CONSOLIDATED EDISON COMPANY OF NEW YORK, INC. 2026-2028 GAS CAPITAL PROGRAMS" prepared under the Panel's direction and supervision?

A. Yes, it was. This is the document which has been identified as Exhibit ___ (GIOP-1).

Q. Please describe this exhibit.

A. This exhibit summarizes Gas Operations' three-year capital expenditures for RY1, RY2, and RY3. These capital expenditures are organized into the functional areas shown on the exhibit and

noted above. This exhibit also includes the "white papers" associated with the three-year capital expenditures. The white papers provide the description of work, justification, alternatives, milestones, benefits and funding requirements for each capital program and project.

Q. Have you prepared an exhibit entitled "GAS OPERATIONS – O&M CHANGES BY CATEGORY"?

A. Yes, we have.

Q Was this exhibit prepared under your supervision and direction?

A. Yes, it was. This is the document which has been identified as Exhibit ___ (GIOP-2).

Q. Please explain what is reflected in Exhibit ___ (GIOP-2).

A. This exhibit shows the Company's incremental O&M expenditures, compared to the 12-month period ended September 30, 2024 ("Historic Year"), for RY1, RY2 and RY3.

Q. Do the Company's capital and O&M funding projections include funding for municipal infrastructure projects?

A. Yes, they do. However, these Public Improvement/Interference expenditures are not addressed in this testimony. These expenditures instead are addressed in separate testimony provided by the Company's Municipal Infrastructure Support Panel.

B. Distribution System Improvement Programs

Q. What is the first category of work the Panel will be discussing?

A. The first category of work the Panel will discuss are Distribution System Improvement Programs.

Q. What kind of work is included in Distribution System Improvement?

A. Distribution System Improvement includes work related to Distribution Integrity (*e.g.*, Gas Infrastructure Replacement and Reduction Program) and System Reliability (*e.g.*, System Reinforcement Program – Winter Load Relief).

Q. Why is the Company proposing Distribution System Improvement Programs?

A. These programs are essential to the safe and reliable operation of our gas distribution system for our current customers, while also focusing on reducing emissions to support environmental goals.

Q. How do Distribution System Improvement Programs create value for customers?

A. Distribution System Improvement Programs enhance safety and reliability across Con Edison’s gas infrastructure. Programs like the Gas Infrastructure Replacement and Reduction Program and the Gas Methane Capture initiative focus on mitigating risks of gas distribution events and reducing methane emissions, aligning with environmental goals. The Distribution Integrity Main Enhancement (“DIME”) and Large Diameter Gas Main Replacement programs ensure the integrity of the gas supply, preventing service interruptions and reducing maintenance costs. The Service Replacement Program

proactively addresses leak-prone services, enhancing reliability and reducing future leaks. Winter Load Relief and System Reliability Improvement projects ensure the system can handle peak demands and prevent large-scale outages, especially during harsh winters. Finally, the Regulator Station Revamp program ensures that regulator stations can meet current and future demands, maintaining system flexibility and preventing service loss during critical times. Together, these programs support a safer, more reliable, and environmentally responsible gas distribution system, ultimately benefiting all customers.

Q. What is the Company's total projected capital investment in this area for the three rate years?

A. The Company's total projected capital investment in Distribution System Improvement Programs is $610 million in RY1, $624 million in RY2, and $642 million in RY3.

Q. What is the Company's total projected O&M program changes in this area for the three rate years?

A. There are no projected O&M program changes in this area for the three rate years.

Q. What is the first project/program you will be discussing?

A. The first program we will discuss is the GIRRP.

Q. Please describe the GIRRP.

A. The GIRRP focuses on replacing or abandoning leak-prone gas mains, specifically targeting small diameter mains (12 inches or

smaller) made of cast iron, wrought iron, and unprotected steel (pre-1972).

Q. What is the Company proposing regarding the GIRRP?

A. We are proposing to replace or abandon 80 miles of main in each of the three rate years. For each rate year, we will replace or abandon 75 miles of planned work and five miles of conjunctional work, such as municipal infrastructure work that eliminates leak prone pipe. These goals are in line with our strategy to eliminate or abandon leak-prone pipe in our service territory by 2040.

Q. Why is the Company proposing this project and what are the benefits?

A. The Company is proposing the GIRRP to address several critical needs:

(1) **Safety**: The program mitigates the risk of a Gas Distribution System Event by replacing or abandoning leak-prone gas mains. This is crucial for protecting both life and property.

(2) **Decarbonization**: By targeting the replacement or abandonment of pipes with higher fugitive emissions, the program supports the Company's methane emissions reduction efforts and decarbonization strategy. This aligns with broader climate goals, including those set by the NYS Climate Leadership and Community Protection Act.

(3) **Climate Adaptation and Resilience**: By focusing on replacing or abandoning low-pressure gas mains in flood-prone areas, the

program enhances the resilience of the gas distribution system against climate-related events.

(4) **Operational Efficiency**: Replacing or abandoning leak-prone pipes reduces the need for frequent repairs and maintenance. This proactive approach helps in managing the leak backlog more effectively.

Q. What are the key activities that the Company will undertake under this proposed project?

A. The key activities that the Company will undertake in the GIRRP include:

(1) **Replacement of Leak Prone Mains**: Targeting small diameter (12 inches and smaller) cast iron, wrought iron, and unprotected steel mains, the program proposes to replace 80 miles of these mains annually during the 2026-2028 rate period. The Company proposes to continue the flexibility offered under the current Rate Plan regarding minimum annual targets of 76 miles, with a cumulative target of 240 miles.

(2) **System Simplification**: Strategically decommissioning footage from the gas distribution system where feasible. This effort will include abandonment of facilities on blocks which have duplicate mains where the load can now be supported by a single main, as well as pursuing customer electrification opportunities on radial blocks of the gas system. Decommissioning redundant facilities and pursuing customer electrification opportunities streamlines

the gas distribution system, reducing its overall footprint and enhancing long-term sustainability.

(3) **Flood-Prone Area Focus**: Replacing six miles of low-pressure gas mains in flood-prone areas annually, aiming to replace all such mains in FEMA+3' areas by 2040.

Q. What capital funding is required for this project during the 2026-2028 period?

A. The capital funding required for the GIRRP is $448 million in RY1, $462 million in RY2, and $475 million in RY3.

Q. What, if any, incremental O&M spending is required for this project during the 2026-2028 period?

A. There is no incremental O&M spending associated with the GIRRP.

Q. Is the Company adjusting its main replacement program strategy to focus more on areas of its system that are less likely to electrify?

A. Yes. As explained in more detail in the Company's Clean Energy Transition Panel, the Company is adjusting its planning strategy related to opportunistic main replacement projects (*e.g.*, projects undertaken in conjunction with municipal street resurfacing unrelated to Company work). The Company will consider whether there is a high likelihood of electrification at the location of potential opportunistic main replacement projects and factor that information into its decision on whether to undertake

the project. The Company plans to do less of this type of work in areas where electrification is anticipated.

Q. Does the Company plan on doing less main replacement/abandonment because of this adjustment in its planning strategy?

A. No. As discussed above, the Company proposes to maintain its current main replacement/reduction target of 80 miles per year. The Company notes that as work is shifted to higher-cost, hard to electrify areas, there will be increased per unit costs.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed investment in the GIRRP?

A. Yes. We have prepared an exhibit entitled Exhibit ___ (GIOP-1), which includes a detailed white paper for this program.

Q. Are there any additional projects and programs within this category?

A. Yes, additional information regarding the following projects and programs can be found in the white papers included in Exhibit ___ (GIOP-1):

- The DIME Program, which focuses on replacing existing plastic and protected steel gas mains under specific conditions such as third-party damages, leaks, and code compliance, to enhance safety, reduce methane emissions, and improve system reliability. This program is requesting capital funding of $15 million in RY1, $15 million in RY2, and $15 million in RY3.

- The Service Replacement Program focuses on replacing actively leaking gas services, vintage services (unprotected pre-1972 steel), and services identified by the Distribution Integrity Management Program ("DIMP"), to enhance safety, reliability, and reduce emissions, while also addressing services associated with capital main replacement projects. This program is requesting capital funding of $114 million in RY1, $121 million in RY2, and $125 million in RY3.
- The Large Diameter Gas Main Replacement Program focuses on proactively rehabilitating or replacing critical large diameter and supply gas mains (16 inches and larger) to ensure uninterrupted gas service, maintain system pressure, and enhance public safety, using methods such as CISBOT for internal joint sealing, cured-in-place liners, and full replacement, when necessary. This program is requesting capital funding of $8.99 million in RY1, $8.99 million in RY2, and $9.27 million in RY3.
- The Gas Methane Capture Project, which aims to identify and reduce greenhouse gas emissions within the Con Edison gas system by using technology to capture methane during purging and blowdown processes. This program is requesting capital funding of $700,000 in RY1, $300,000 in RY2, $500,000 in RY3.
- The System Reinforcement Program involves installing and replacing gas mains to reinforce the system in areas where

pressures do not meet design criteria based on the prior winter's performance. This program is requesting $8.49 million in RY1, $7.87 million in RY2, and $7.29 million in RY3.

- The Regulator Station Revamp Program is a multi-year initiative to retrofit existing regulator stations by installing new vaults, piping, regulator hardware, and communication systems to ensure reliable gas service, enhance system flexibility and safety. This program is requesting $4.76 million in RY1, $3.76 million in RY2, and $3.88 million in RY3.
- The Gas Reliability Improvement Program focuses on reinforcing the gas system by installing and replacing critical gas mains in vulnerable areas to prevent large-scale outages and ensure continuous and safe service. This program is requesting $9.02 million in RY1, $5.86 million in RY2, and 6.04 million in RY3.

C. Transmission Programs and Projects

Q. What is the next category of work the Panel will be discussing?

A. The next category of work the Panel will discuss are Transmission Programs and Projects.

Q. What kind of work is included in Transmission Programs and Projects?

A. Transmission Programs and Projects includes compliance-related main replacement, gate station refurbishments, metering station

upgrades, installation of Remotely Operated Valves ("ROVs"), and regulator station rebuilds.

Q. Why is the Company proposing Transmission Programs and Projects?

A. These programs are essential to safe and reliable operation of our gas transmission system. These initiatives address regulatory compliance, enhance safety, and improve operational flexibility.

Q. How do Transmission Programs and Projects create value for customers?

A. Transmission Programs and Projects create value for customers by ensuring a safe and reliable gas supply. By replacing aging infrastructure, these projects reduce the risk of leaks and service interruptions, enhancing overall safety. Additionally, these projects ensure compliance with regulatory standards.

Q. What is the Company's total projected capital investment in this area for the three rate years?

A. The Company's projected capital investment in this area for the three rate years is $135 million for RY1, $135 million for RY2, and $134 million for RY3.

Q. What is the Company's total projected O&M program changes in this area for the three rate years?

A. There are no O&M program changes in this area for the three rate years.

Q. What are the first projects you will be discussing?

A. The first projects we will discuss are associated with the Company's Maximum Allowable Operating Pressure ("MAOP") Reconfirmation Plan. This federally mandated plan (49 CFR 192.624) requires reconfirmation of the maximum allowable operating pressure of existing transmission lines. Transmission lines are defined as pipelines that have an MAOP of 20 percent or more of Specified Minimum Yield Strength (SMYS) (49 CFR 192.3). The plan involves abandoning or downgrading existing transmission pipelines that were installed using legacy construction practices and lack traceable, verifiable, and complete records. The plan also includes installing new distribution pipelines operating above 125 psig. These projects will use modern materials and construction practices and will improve safety and reliability on the system. The Company is proposing three projects during the 2026-2028 rate period for compliance with federal and state law associated with Company's MAOP Reconfirmation Plan:

(1) the Westchester Bronx Border to White Plains Project,

(2) the Bronx River Tunnel to Bronx Westchester Border Project, and

(3) the Queens Transmission Upgrade Project.

Q. What is the Company proposing regarding the MAOP Reconfirmation Plan projects?

A. The Company is proposing to install 36-inch distribution mains operating above 125 psig to replace the existing transmissions

mains described above. This work is spread across Queens, the Bronx, and Westchester.

Q. Why is the Company proposing this project?

A. The Company is proposing the transmission main replacement program to comply with PHMSA's Pipeline Safety rule, which requires an Operator to have traceable, verifiable, and complete records necessary to establish the MAOP. If records are not available to comply with the rule, PHMSA allows six different methods to reconfirm the MAOP of a main. For the reasons set forth in the project white papers included in Exhibit ___ (GIOP-1), Pipe Replacement is the only feasible method that will provide for continual safe delivery of natural gas to the firm gas customers.

Q. What are the key activities that the Company will undertake in this proposed project?

A. The key activities for the MAOP Reconfirmation Plan projects include replacing transmission mains with distribution mains operating above 125 psig and retirement of a compressor station, certain regulators and a super monitor.

Q. What are the key benefits of the proposed project?

A. The new installations comply with PHMSA's Pipeline Safety rule. This ensures that the pipeline meets the latest safety standards and regulations. In addition to complying with federal and state law, these projects will improve safety through the retirement of

certain high-risk assets, including: a compressor station, certain regulators and a super monitor.

Q. What capital funding is required for this project during the 2026-2028 period?

A. The Company is proposing $89 million in RY1, $89 million in RY2, and $92 million in RY3 for the projects related to MAOP Reconfirmation. Below are the projected expenditures for each project.

(1) Westchester Bronx Border to White Plains project proposes $37 million in RY1, $37 million in RY2, and $38 million in RY3;

(2) Bronx River Tunnel to Bronx Westchester Border project proposes $21 million in RY1, $20 million in RY2, and $21 million in RY3;

(3) Queens Transmission Upgrade project proposes $31 million in RY1, $32 million in RY2, and $33 million in RY3.

Q. What, if any, incremental O&M spending is required for this project during the 2026-2028 period?

A. There is no incremental O&M spending required for these projects.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed investment in the MAOP Reconfirmation Plan projects?

A. Yes. We have prepared an exhibit entitled Exhibit ___ (GIOP-1), which includes detailed white papers for these projects.

Q. Are there any additional projects and programs within this category?

A. Yes, additional information regarding the following projects and programs can be found in the white papers included in Exhibit ___ (GIOP-1):

- Remotely Operated Valves ("ROVs") Program, which aims to convert existing transmission valves or install new ROVs to rapidly isolate sections of the gas transmission system during an emergency, minimizing affected areas and maintaining system reliability. The ROV Program is requesting capital funding of $3.35 million in RY1, $3.35 million in RY2, and $3.46 million in RY3.
- Newtown Creek Metering Station Project, which involves capital upgrades to replace obsolete metering and electrical systems, enhance flow control, and improve infrastructure for better reliability and compliance with current standards. The Newtown Creek Metering Station Project is requesting capital funding of $15.6 million in RY2 and $14.4 million in RY3.
- Cortlandt Gate Station Refurbishment, which aims to upgrade and replace obsolete regulating and metering equipment to ensure reliability and support the Yorktown Gate Station during a contingency. The Cortlandt Gate Station Refurbishment Project is requesting capital funding of $10 million in RY1.

- Blind Brook Project, which involves relocating a 12” gas transmission main from a tunnel under I-95 and the Metro North Railroad to a new route improving safety and reliability. The Blind Brook Project is requesting capital funding of $5 million in RY1.
- Pressure Control Regulator Automation Project, which aims to install automated control equipment at all gas system regulator stations to enable precise remote operation, enhance system visibility, and improve safety and reliability by preventing pressure exceedances. The Pressure Control Regulator Automation Project is requesting capital funding of $19.6 million in RY1, $20.2 million in RY2, and $20.8 million in RY3.
- Pressure Control Regulator Station Related Improvements Project, which focuses on replacing corroded and obsolete equipment at regulator stations to ensure compliance with regulations and prevent customer outages. The Pressure Control Regulator Station Related Improvements Project is requesting capital funding of $1.1 million in RY1, $1.1 million in RY2, and $1.1 million in RY3.

- GR-450 A&B Replacement, which aims to replace the obsolete GR-450 regulator with two new regulators to enhance safety, reliability and eliminate potential adverse impacts on

customers. The GR-450 A&B Replacement Project is requesting capital funding of $6 million in RY1, $6 million in RY2, and $2 million in RY3.

- Remote Telemetry Unit ("RTU") & Communications Upgrade at 1st Avenue Tunnel, which aims to upgrade obsolete RTU communication systems in the 1st Avenue Tunnel to ensure reliable communication of critical system information to Gas Control. The RTU & Communications Upgrade at 1st Avenue Tunnel Project is requesting capital funding of $1 million in RY1.

D. Natural Gas Detector (NGD) Program

Q. What is the next category of work the panel will be discussing?

A. The next category of work the Panel will discuss is the NGD Program.

Q. What kind of work is included in the NGD Program?

A. The NGD Program includes the installation of new NGD devices at locations that currently do not have an NGD, replacement of existing NGDs as needed, and expansion of the AMI network coverage that enables NGD communication.

Q. Why is the Company proposing the NGD Program?

A. The Company is proposing the NGD Program to enhance public and employee safety by enabling early detection of gas leaks, which allows for quicker response and reduces the risk of incidents.

Q. What are the key activities that the Company will undertake for this proposed project?

A. The key activities in the NGD Program include installing NGDs at locations currently without them, replacing devices that have reached the end of their battery life or due to routine maintenance as needed, and expanding the AMI network to ensure robust communication. The Company will proactively schedule installation appointments with customers and develop marketing tools to increase program awareness. Additionally, the Company will expand network coverage where necessary, ensuring that all NGDs can reliably transmit alarm signals to the Gas Emergency Response Center.

Q. What are the key benefits of the proposed project?

A. The NGD project enhances public and employee safety by enabling early detection of gas leaks, allowing for quicker response and risk mitigation. The accumulation of natural gas in a building can occur from a leak on the buried gas distribution infrastructure located outside of the building. Gas migrates through the soil or through a utility service point of entry ("POE") and into the building. Buildings are typically constructed where the majority of utility POEs (water service, sewer pipe, buried electric service) are in close proximity to the gas POE. Locating the NGD on service line pipe near POEs provides detection capability for this type of occurrence. It

will also detect leaks on nearby customer piping or equipment. Using NGD technology will improve pubic and employee safety by identifying potential leaks much earlier than relying on odor calls, allowing Company crews more time to identify potential gas leaks, make the location safe and evacuate the public if necessary. As discussed later in our testimony, the Company is seeking tariff modifications to make installation of these devices mandatory for all existing customers as well as for new customers with installed AMI meters.

Q. What capital funding is required for this project during the 2026-2028 period?

A. The capital funding required for this project is $34.2 million in RY1, $31.5 million in RY2, and $29.7 million in RY3.

Q. What, if any, incremental O&M spending is required for this project during the 2026-2028 period?

A. There is no incremental O&M spending required for this project during the 2026-2028 period.

Q. Is there more detailed information available regarding this project?

A. Yes, for additional details please see the white paper for this project, which is included in Exhibit ___ (GIOP-1).

E. Customer Connections

Q. What is the next category of work the Panel will be discussing?

A. The next category of work the Panel will discuss are Customer Connections.

Q. What kind of work is included in Customer Connections?

A. Customer Connections includes new gas services and increased gas load on an existing service.

Q. Why is the Company proposing Customer Connections?

A. These programs are required by existing regulatory and statutory mandates, which continue to impose obligation to provide gas service. The Company is actively working to discourage new customer connections and has submitted comments in Case 20-G-0131 supporting the elimination of entitlements above and beyond what is required under Public Service Law. The Company has also submitted comments to the Commission in response to the July 2024 Staff Straw Proposal that is overall supportive of reforming this regulation.

Q. How do Customer Connections create value for customers?

A. Despite recent changes to New York State and New York City laws to limit fossil fuel use, customers are currently allowed to choose fossil fuel, even in new buildings, under exemptions enacted by the New York State Legislature. Commercial cooking, laundry facilities, medical centers and other locations using natural gas for emergency generation are examples of these exemptions.

Q. What is the Company's total projected capital investment in this area for the three rate years?

A. The Company's projected capital investment in this area is $72 million in RY1, $63 million in RY2, and $58 million in RY3.

Q. What is the Company's total projected O&M program changes in this area for the three rate years?

A. There are no projected O&M program changes in this area for the three rate years.

Q. Please describe the Company's Customer Connections Program.

A. The Customer Connections Program funds the installation of main and services necessary to provide adequate gas supply to customers who request new or additional gas loads. Notwithstanding the Company's efforts to offer non-fossil alternatives to customers, the Company is obligated by the Public Service Law and Commission regulations to provide gas service to new customers and to increase gas service for existing customers with increased demand. In accordance with this obligation, we will continue to provide safe, reliable service to our customers in a cost-effective manner.

Q. What is the Company proposing regarding the Customer Connections Program?

A. The Company is anticipating continued requests for gas service, though we recognize that there will be decreases in the number of requests for new/additional gas service over time as new

buildings are built and others convert to non-fossil heating and cooking. The Company is committed to providing clean energy alternatives and has established programs and rebates to support the reduction in natural gas use.

Q. Is there more detailed information available regarding this program?

A. Yes, for additional details please see the white paper for this program, which is included in Exhibit ___ (GIOP-1).

F. Technical Operations

Q. What is the next category of work the panel will be discussing?

A. The next category of work the Panel will discuss are Technical Operations Projects and Programs.

Q. What kind of work is included in Technical Operations?

A. Technical Operations includes the Liquified Natural Gas ("LNG") Plant, Tunnels, and Meters.

Q. What is the Company's total projected capital investment in this area for the three rate years?

A. The Company's projected capital investment in this area is $86.9 million in RY1, $63.3 million in RY2, and $60.3 million in RY3.

Q. What is the Company's total projected O&M program changes in this area for the three rate years?

A. There are no projected O&M program changes in this area for the three rate years.

1. LNG Plant

Q. Why is the Company proposing LNG Plant Projects?

A. The proposed LNG Plant Projects are important to continue safe plant operations and maintain plant reliability. Con Edison uses its liquefied natural gas facility to maintain adequate supply during gas peak operations. In addition, these projects are important measures to harden the LNG Plant.

Q. How do LNG Plant Projects create value for customers?

A. LNG Plant Projects create value for customers by enhancing the reliability and resilience of the gas supply system. Con Edison uses its liquefied natural gas facility to maintain adequate supply during gas peak operations. The LNG Plant serves as a cost-effective alternative to more expensive firm peaking supplies and as a contingency resource, in the event of any incident impacting our external supply source.

Q. What is the Company’s total projected capital investment in this area for the three rate years?

A. The Company’s projected capital investment in this area is $37.5 million in RY1, $10 million in RY2, and $9 million in RY3.

Q. What is the Company’s total projected O&M program changes in this area for the three rate years?

A. There are no projected O&M program changes in this area for the three rate years.

Q. What is the first project/program you will be discussing?

A. The first program we will discuss is Nitrogen Refrigeration Cycle Replacement Project.

Q. Please describe the Company's Nitrogen Refrigeration Cycle Replacement Project.

A. This project involves replacing the Nitrogen Refrigeration Cycle at the Astoria LNG Plant. The current liquefaction nitrogen refrigeration cycle is inefficient and does not fill the LNG tank in six months, which is inconsistent with its original design.

Q. What is the Company proposing regarding the Nitrogen Refrigeration Project?

A. The Company is proposing to replace the following equipment: turbine-compressor main driver, cold box (main heat exchanger), compressor-expanders, interconnecting piping and wiring, nitrogen storage system, air compressor system, control systems, and any auxiliary equipment required to control or operate the Nitrogen refrigeration cycle.

Q. Why is the Company proposing this project?

A. The Company is proposing this project to allow for the Company to continue to deliver natural gas to our customer when they need it the most and continue to provide reliable services for gas peaking, and unplanned upstream gas system contingency.

Q. What are the key activities that the Company will undertake in this proposed project?

A. The key activities in the proposed project include replacing various equipment required to control or operate the Nitrogen refrigeration cycle. The new system will be built in parallel with the existing one to minimize downtime and ensure winter preparedness. Additionally, the project will comply with the Con Edison Climate Change Planning and Design Guidelines, which include meeting FEMA 2013 plus 5 feet, higher wind loads, higher temperature rating and precipitation requirements.

Q. What are the key benefits of the proposed project?

A. The key benefit of the Nitrogen Refrigeration Cycle Replacement Project is to enhance safety and reliability by restoring the plant's ability to fill the LNG tank at its original design rate, ensuring the LNG plant can be used as a contingency to mitigate shortfalls in gas supply.

Q. What capital funding is required for this project during the 2026-2028 period?

A. The Nitrogen Refrigeration Cycle Replacement is requesting $25 million in RY1.

Q. What, if any, incremental O&M spending is required for this project during the 2026-2028 period?

A. There is no incremental O&M spending required for this project.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed investment in the Nitrogen Refrigeration Cycle Project?

A. Yes. We have prepared an exhibit entitled Exhibit ___ (GIOP-1), which includes a detailed white paper for this program.

Q. Are there any additional projects and programs within this category?

A. Yes, additional information regarding the following projects and programs can be found in the white papers included in Exhibit ___ (GIOP-1):

- LNG Electrical Distribution System Upgrade Project, which involves relocating and installing a new modern substation further away from the gas transmission main inside the LNG Plant to enhance safety, reliability, and compliance with regulatory requirements. The LNG Electrical Distribution System Upgrade Project is requesting capital funding of $7 million in RY1.

- LNG Plant Controls Instrumentation Upgrade Program, which involves upgrading the instrumentation and control systems at the LNG Plant to create a centralized monitoring and control capability, ensuring compliance with climate change guidelines and improving operational efficiency. The LNG Plant Controls Instrumentation Upgrade Program is requesting capital funding of $4 million in RY1.

- LNG Resiliency Improvement Program, which involves enhancing the resilience of the LNG Plant by hardening, relocating,

replacing or installing new systems. The Resiliency Improvement Program is requesting capital funding of $1 million in RY1, $1 million in RY2, and $1 million in RY3.

- LNG Tank Pressure and Vacuum Reliefs Project, which involves replacing pressure relief valves and vacuum relief valves. The LNG Tank Pressure and Vacuum Reliefs Project is requesting capital funding of $1 million in RY2.
- LNG Ground Combustor Replacement Project, which involves replacing and elevating the LNG plant Ground Combustor to ensure it operates correctly and reduces greenhouse gas emissions by preventing natural gas discharge during flooding. The Ground Combustor Replacement Project is requesting capital funding of $5 million in RY2.
- LNG Control Center Refurbishment Project, which involves refurbishing the LNG Control Center by replacing the roof, soffit, siding, and structural deck to restore the building's wind ratings and ensure the continued operation of the LNG Plant. The Control Center Refurbishment Project is requesting capital funding of $1 million in RY2, $2 million in RY3.
- LNG Shafer Emissions Controlled Actuation Technology ("ECAT") Project, which involves retrofitting the main line valve actuators at the Company's compressor station to eliminate natural gas discharge during normal operation. The Shafer ECAT Project is requesting capital funding of $500,000 in RY1.

- LNG Compressor Station Fire Detection Upgrade, which involves replacing the existing fire detection and control system at the Company's compressor station. The Compressor Station Fire Detection Upgrade Project is requesting $2 million in RY2 and $6 million in RY3.

2. Tunnels

Q. Why is the Company proposing Tunnels Projects?

A. There are eight utility tunnels on the Company's system. These tunnels house critical electric, gas, and steam facilities, as well as fuel oil line and telecommunications systems. Tunnel infrastructure is significantly impacted by atmospheric corrosion, water infiltration and salt deposits. If this infrastructure is not replaced there is an increased risk of a catastrophic failure jeopardizing the reliability of the electric, gas and steam transmission and distribution system. These projects are required for system reliability, employee safety, and to enable continued access to critical infrastructure. This includes the gas main rollers, feeder cables, elevators, cast steel liner, structural concrete, ladders and landings, electric and ancillary equipment such as sump pumps, lighting, and remote monitoring capability. All of these are subject to corrosion and deterioration due to ground water intrusion and exposure to extreme moisture, salt, humidity, and heat, especially in the tunnels that carry steam mains.

Q. How do Tunnels Projects create value for customers?

A. Tunnels Projects create value for customers by reducing the risk of service interruptions and improving overall system resilience. These projects involve protecting infrastructure from environmental factors.

Q. What is the Company's total projected capital investment in this area for the three rate years?

A. The Company's projected capital investment in Tunnels Projects is $14.5 million in RY1, $18.4 million in RY2, and $16.4 million in RY3.

Q. What is the Company's total projected O&M program changes in this area for the three rate years?

A. There are no projected O&M program changes in this area for the three rate years.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed investment in the Tunnels Programs/Projects?

A. Yes. We have prepared an exhibit entitled Exhibit ___ (GIOP-1), which includes detailed white papers for these programs/projects. The breakdown of the capital funding requests for each Tunnels Projects/Programs is:

- Concrete Restoration Program: $1 million in RY1, $1 million in RY2, and $1 million in RY3.

- Astoria Elevator Modernization: $750,000 in RY1, $5 million in RY2, and $3 million in RY3.
- Flushing Tunnel Bulkhead Replacement: $1.1 million in RY1.
- Steel Replacement: $1 million in RY1, $1 million in RY2, and $1 million in RY3.
- Annual Sump Pumps: $150,000 in RY1, $150,000 in RY2, and $150,000 in RY3.
- Carbon Fiber Wrap Program: $10 million in RY1, $10 million in RY2, and $10 million in RY3.
- Astoria Cast Steel Liner Replacement: $250,000 in RY1, $1 million in RY2, and $1 million in RY3.
- Lighting Improvement Program: $250,000 in RY1, $250,000 in RY2, and $250,000 in RY3.

3. Meters

Q. Why is the Company proposing the Meter Program?

A. This program allows the Company to provide safe and reliable gas service to our customers. In addition, these programs support the Company's mandated meter replacement programs. Technical Operations purchases gas meters and related devices for all our customers.

Q. How does the Meter Program create value for customers?

A. The Meter Program creates value for customer by ensuring accurate and reliable measurement of gas usage, which is crucial for billing and energy management. By upgrading and maintaining

meters, the Company can provide precise readings, reducing the likelihood of billing errors and disputes. Additionally, modern meters allow for remote readings and real-time monitoring, enhancing convenience and providing customers with more control over their gas usage.

Q. What is the Company's total projected capital investment in this area for the three rate years?

A. The Company's projected capital investments in the Meter Program is $34.9 million in RY1, $34.9 million in RY2, and $34.9 million in RY3.

Q. What is the Company's total projected O&M program changes in this area for the three rate years?

A. There are no projected O&M program changes in this area for the three rate years.

Q. What is the Company proposing regarding the Meter Purchase and Meter Installation Programs?

A. The Meter Purchase Program involves purchasing gas meters and related devices for customer connections and meter replacement programs, ensuring compliance with code requirements and the Gas Tariff. The Meter Installation Program involves the installation of gas meters for mandated meter replacement programs and meter installations for new and existing customer connections.

Q. Why is the Company proposing this project?

A. Technical Operations purchases gas meters and related devices for all our customers. When possible, we refurbish meters and when necessary we replace them. Our investment in this area considers historic replacement and refurbishment. Currently, 45 percent of the meters purchased and installed are related to mandated meter replacement programs and required replacements, while 55 percent of the meter purchased and installed are associated with customer connections or replacements of existing customer meters who are increasing their existing gas demand. While customer connection projects have decreased, we have experienced an increased need to replace undersized meters, which have been identified because of new AMI information.

G. Gas Information Technology

Q. What is the last category of work the panel will be discussing?

A. The last category of work the Panel will discuss is Gas Information Technology.

Q. What kind of work is included in Gas Information Technology?

A. We are going to discuss IT investments in the following two categories: Gas Control Center Improvements and Gas Emergency Response Center ("GERC") Improvements.

(1) Gas Control Center Improvement Projects include:

- Gas Control Center End of Life ("EOL") Equipment Upgrade; and
- Primary Gas Control Center Furnishing.

(2) GERC Improvements include:

- GERC EOL Equipment Replacement;
- Primary GERC Relocation Furnishing; and
- Alternate GERC Relocation.

The IT Panel will discuss other gas-related IT programs, including Gas Digital As-Builting, Transmission Pipeline Integrity Management Information System ("PIIMS"), Service Line Inspection GIS Routing and Traceability, Service Line Inspection Program Customer Communication Automation, and GOSS and Gas Application & Hardware Upgrade

Q. Why is the Company proposing Gas Information Technology Projects?

A. The Company is proposing Gas Information Technology Projects for several key reasons:

1. **Enhanced Monitoring and Control**: These projects equip control centers with advanced technology and ergonomic designs. This ensures effective monitoring and control of gas transmission and distribution systems, which is crucial for safe operations and regulatory compliance.

2. **Improved Decision Making and Situational Awareness**: By upgrading and replacing obsolete equipment, the Company is ensuring that operators have access to up-to-date information and tools. This enhances their ability to make informed decisions quickly and accurately especially during emergencies.

3. **Regulatory Compliance and Safety**: Many of these projects address Control Room Management regulations, particularly those related to fatigue mitigation and alertness. By incorporating engineering controls and ergonomic designs, the Company aims to create a safer and more efficient working environment for its operators.

Q. How does Gas Information Technology create value for customers?

A. Gas Information Technology creates value for customers by maintaining the reliability and safety of the gas system through advanced monitoring, control, and emergency response systems. By upgrading and replacing obsolete equipment, the Company can quickly and accurately respond to incidents, maintain continuous operations, and comply with regulatory standards.

Q. What is the Company's total projected capital investment in this area for the three rate years?

A. The Company's total projected capital investment in Gas Information Technology is $14.4 million in RY1, $6.3 million in RY2, and $1.6 million in RY3. The breakdown of the capital funding requests for each of the proposed projects are as follows:

(1) Gas Control Center End of Life ("EOL") Equipment Upgrade: The Company is requesting capital funding of $69,000 in RY1, $154,000 in RY2, and $30,000 in RY3.

(2) Primary Gas Control Center Furnishing: The Company is requesting capital funding of $1.25 million in RY1.

(3) GERC EOL Equipment Replacement: The Company is requesting capital funding of $600,000 in RY1, $600,000 in RY2, and $600,000 in RY3.

(4) Primary GERC Furnishing: The Company is requesting capital funding of $4 million in RY1, $1 million in RY2, and $1 million in RY3.

(5) Alternate GERC Relocation: The Company is requesting capital funding of $8.5 million in RY1 and $4.5 million in RY2.

Q. What is the Company's total projected O&M program changes in this area for the three rate years?

A. There are no projected O&M program changes in this area for the three rate years.

Q. Have you prepared, or had prepared under your supervision, exhibits that detail the Company's proposed investment in Gas Information Technology Projects?

A. Yes. We have prepared an exhibit entitled Exhibit ___ (GIOP-1), which includes detailed white papers for these projects.

H. O&M Program Changes

Q. What O&M Program Changes are the Company putting forth?

A. The Company is requesting O&M Program changes for the following programs:

- CECONY Flagging Prevailing Wage NYC – Gas; and
- Construction Gas Labor.

Q. Please describe the CECONY Flagging Prevailing Wage NYC – Gas proposal.

A. Traffic control personnel, or flaggers, play a vital role in ensuring the safety of both workers and drivers in and around construction zones. A recent guidance memo released by the New York City Comptroller's Office states that flaggers performing work associated with New York City Street opening permits must be paid prevailing wages. The proposed O&M program change will fund the increased flagging costs associated with this change.

Q. Please describe the Company's CECONY Flagging Prevailing Wage NYC - Gas O&M request.

A. We propose a program change increase of $1.7 million in RY1.

Q. Please describe the Company's Construction Gas Labor program change.

A. This program proposes additional FTEs for the Construction organization.

Q. What factors are driving growth and change with the Con Edison Construction organization?

A. The Company is planning several projects to accommodate electric load growth from electrification initiatives. This is discussed further in the Company's EIOP direct testimony. This anticipated growth requires changes within the Construction organization. As

such, the Company has strategically restructured existing resources, operations, and personnel within the Construction organization. The Construction organization will now oversee construction contracts and execution of all activities for the successful completion and implementation of major projects and programs in the Electric, Gas, and Steam portfolios. Accompanying the electric system expansion projects, Construction will also support asset replacement and upgrades that the Company will continue to perform to maintain system reliability, including work such as the Gas Infrastructure Replacement or Reduction Program.

Q. What staffing additions are planned for the Construction organization in the rate years?

A. In order to support the work described above, incremental Construction staffing requirements include one Vice President, one Executive Assistant, two General Managers, four Section Managers, 19 Supervisors, 77 Mechanics, 55 Chief Construction Inspectors, 10 Specialists, 94 Field Inspectors, and 10 Field Technical Specialists, bringing the organization’s staffing request to 273. This staffing plan will facilitate contractor oversight, site preparation, construction activities, testing, and commissioning for planned projects and programs. The funding for these FTEs will be predominately capital and included in the project or program funding requests while the associated O&M

costs are not. The Construction organization is a clearing organization that assigns costs out to other organizations using a predetermined split. Twenty percent of the costs for this request are allocated to Gas Operations, with the remainder being allocated to Electric Operations.

Q. Will any of these employees require additions to the Company's vehicle fleet?

A. Yes, the Company will need to purchase vehicles to support the additional employees' job functions. These fleet additions are included as part of the Shared Service Panels vehicle and equipment request.

Q. Please describe the Company's Construction Gas Labor O&M request.

A. We propose a program change increase of $843,000 in RY1.

III. Additional FTEs

Q. Are you proposing to hire additional FTEs?

A. Yes, as described above, additional FTEs are being proposed for growth in the Construction Organization. This request is detailed in Exhibit ___ (GIOP-3).

Q. Are there any other matters the Panel would like to discuss relating to additional FTEs?

A. Yes. Based on recent Staff record audit findings, the Company would like to describe additional FTEs that may be needed to comply with certain Commission regulations.

Q. Please describe the recent Staff record audit findings at issue.

A. In the 2023 DPS Staff Records Audit (of 2022 Records), DPS Staff cited the Company for 33 Other Risk violations of 255.727(d) associated with the Company's No Customer of Record ("NCR") process outlined in procedure CSP 2-3-54. The Company disagreed with those findings based upon the requirements in 16 NYCRR 255.727(d) and relevant PHMSA Interpretations. Con Edison's procedure, CSP 2-3-54, has a 45-day timeline to address NCR accounts and, in each of the 33 accounts cited, the Company met this timeline. Nonetheless, Staff issued violations for all gas closed accounts not remediated within 30 days. Additionally, DPS Staff mentioned in the 2023 Records Audit report that the 30-day maximum timeframe for an NCR Occupied site-based analysis ("SBA") is excessive and the Company must revise its procedures to reduce the maximum timeframe to ideally not exceed five days.

Q. How long have the Company's existing specifications relating to inactive accounts (including the 45-day remediation timeframe) been in place?

A. The Company's specifications have been in place since 2017.

Q. Did the Company consult with Staff while the existing specifications were being developed?

A. Yes. Although Staff did not formally approve the specifications, the Company did consult with Staff while these specifications were being developed.

Q. Does the Commission regulation in question, 16 NYCRR 255.727 (d), include any specific timeframe for addressing inactive accounts?

A. No, it does not.

Q. Please describe the additional FTEs that would be required to comply with Staff's 30-day timeframe for addressing inactive accounts under 16 NYCRR 255.727 (d).

A. The Company would need 70 additional FTEs to meet the 30-day timeframe. Of these, 41 FTEs would be allocated to Customer Operations, while 29 FTEs would be needed in Gas Operations. These additional FTEs in Customer Operations would be scheduling and fielding SBAs in the NCR Occupied process within a maximum timeframe of five days. The additional FTEs in Gas Operations would be performing service disconnections, reconnections, and turn-ons.

Q. What are the costs associated with these additional FTEs?

A. The additional FTEs in Customer Operations would cost $4.9 million for each of the rate years. The additional FTEs in Gas Operations would cost $3.6 million for each of the rate years.

Q. Has the Company included the costs of the 70 additional FTEs in its proposed revenue requirement?

A. No, we have not. The Company opposes changing the timeframe associated with this regulation from 45 days to 30 days and, therefore, disputes the need for these additional FTEs.

Q. Why does the Company oppose changing the timeframe and adding FTEs?

A. Operational data demonstrates that a significant percentage of accounts are resolved through administrative actions within the existing timeframe. Changing the timeframe to require earlier field action would provide limited safety benefits and would increase costs for customers.

V. Performance Measures

Q. Are you proposing any changes to the existing Gas Safety Performance Measures, which are set forth in Appendix 19 of the Joint Proposal adopted by the Commission in its Order Adopting Terms of Joint Proposal and Establishing Electric and Gas Rate Plans with Additional Requirements, issued July 20, 2023, in Cases 22-E-0064 and 22-G-0065 (the "2023 Rate Order")?

A. Yes, the Company is proposing changes to the positive revenue adjustments ("PRAs") associated with the Leak Backlog and Emergency Response performance measures; the Company also proposes several modifications to the Gas Regulations Performance Measure. The Company proposes no changes to the remaining Gas Safety Performance Measures.

Q. Please describe the Company's proposed change to the PRAs associated with the Leak Backlog Performance Measure.

A. The positive revenue adjustment would be awarded as shown in Table 1 of Exhibit ___ (GIOP-4).

Q. Why does the Company believe this change is justified?

A. In order to achieve such low total leak backlog targets, the Company must expend significant resources. The cost of deploying such resources currently exceeds the value of the PRA. Therefore, the Company is proposing a PRA level that is more in line with the costs associated with achieving such goals.

Q. Please describe the Company's proposed change to the PRAs associated with the Emergency Response Performance Measure.

A. The positive revenue adjustment would be awarded as shown in Table 2 of Exhibit ___ (GIOP-4).

Q. Why does the Company believe this change is justified?

A. To achieve such fast response time targets, the Company must expend significant resources. The cost of deploying such resources currently exceeds the value of the PRA. Therefore, the Company is proposing a PRA level that is more in line with the costs associated with achieving such goals.

Q. Please describe the Company's proposed changes to the Gas Regulations Performance Measure.

A. The Company is proposing the following modifications to this metric:

- Eliminate NRA for work procedure violations that exceed state code requirements;

- Eliminate NRA for violations that were previously identified in a quality control/assessment process and rectified prior to an audit; and
- Eliminate NRA for violations that were self-reported and not subject to reporting requirements.

Q. Please describe the Company's first proposed modification to the Gas Safety Regulations Performance Measure?

A. The first proposed modification is the elimination of a NRA for a work procedure violation (*i.e.*, 16 NYCRR Section 255.603) in situations where the Company's procedures go above and beyond the requirements contained within the regulations. It is neither appropriate nor does it serve a useful purpose to penalize the Company for having more stringent internal work procedures. Therefore, the Company is proposing that violations of the Company's procedures, which are not required by code (*i.e.*, that exceed the requirements of the Commission's regulations), not be counted for the NRA.

Q. Is the Company aware of other LDCs that have provisions in their Gas Safety Regulations Performance Measures that allow for the elimination of NRAs for work procedure violations exceeding code requirements?

A. Yes. KEDNY's most recent rate plan (Case No. 23-G-0225) excludes work procedure violations that exceed the prescriptive requirements in Code Sections 255 or 261 from NRA consideration.

Q. Please describe the Company's next proposed modification to the Gas Safety Regulations Performance Measure?

A. The Company is proposing the elimination of any NRA penalties associated with violations that were previously identified by internal quality control processes and rectified prior to identification in a PSC audit. The Company puts considerable effort into identifying and rectifying compliance or quality issues; therefore, it is not reasonable for the rate plan to establish disincentive for a violation that has already been identified and rectified by the Company. Indeed, it is contrary to sound regulatory policy regarding compliance, which is to encourage disclosure and correction.

Q. Please describe the Company's last proposed modification to the Gas Safety Regulations Performance Measure?

A. The Company is proposing the elimination of NRA for violations resulting from self-reported events not subject to reporting requirements, as long as the Company takes immediate corrective action to resolve said issue. To promote transparency and cooperation, the Company has self-reported issues or incidents to Staff, which do not meet current regulatory reporting requirements. These self-reported events should not be subject to NRA, because the Company should not be penalized for going above and beyond its reporting requirements.

VI. Tariff Changes

Q. Are you proposing any tariff changes as part of your testimony?

A. Yes, we are.

Q. What are they?

A. First, the Company is proposing to increase from $160 to $250 the penalties associated with the tampering/destruction/removal of natural gas detectors.

Q. What is the reason for this proposed change?

A. Currently, natural gas detectors do not appear on the list of company equipment within the tariff, and the replacement cost of the device exceeds the $160 allowed. We have had some devices that have been intentionally damaged or discarded and customers who damage company equipment should cover the cost of those damages. The cost of replacing an intentionally damaged gas meter also exceeds the $160 threshold.

Q. What is the Company's next proposed tariff change?

A. The Company is proposing to update costs for reconnecting gas customers who have failed to complete their safety inspections on time. Currently, these fees are capped at $65 for small residential customers (including low-income customers) or $245 for all other customers. The Company is proposing to raise these fees to $130 for residential customers (less than four units) and $495 for all other customers.

Q. What is the reason for this proposed change?

A. These increased costs reflect the average cost of reconnection where a street cut has not been required (labor) and they are completely avoidable when customers provide access for their inspections. These costs have not changed in many years, and it is inappropriate for other customers to incur these costs on behalf of the customers who do not comply with the federal and state safety regulations.

Q. What is the Company's next proposed tariff change?

A. The Company is proposing to update the termination notices for service line inspections.

Q. What is the reason for this proposed change?

A. The termination notices have been streamlined and updated to reflect ways to contact us and avoid loss of service.

Q. What is the Company's next proposed tariff change?

A. The Company is proposing to eliminate the option for customers to refuse the installation of an NGD for locations that are AMI-enabled.

Q. What is the reason for this proposed change?

A. These detectors are critical in keeping the public safe. We are proposing that all customers who desire gas service or choose to continue gas service, be required to allow the Company to install these devices without charge.

Q. What is the Company's last proposed tariff change?

A. The Company is proposing to change the terms of the meter relocation refusal fee to require payment of the fee at time of refusal.

Q. What is the reason for this proposed change?

A. Where customers have been provided an opportunity to relocate their meter and elect not to do so, we are requesting that they pay for their inspection at that time since our employees/designees will already have access to the infrastructure.

VII. Other Issues

A. PIPES Act of 2020

Q. Are there any other issues the Panel would like to address?

A. Yes, there is the Protecting Our Infrastructure of Pipelines and Enhancing Safety ("PIPES") of 2020 (PIPES Act of 2020, S. 2299, 116th Cong. (2019)) and two associated pending rule making proceedings that could potentially impact our operations.

Q. What is the PIPES Act of 2020?

A. The PIPES Act of 2020 authorizes and directs the DOT to perform studies and adopt rules intended to enhance gas pipeline safety, as well as ties environmental safety to pipeline and public safety.

Q. What, if any, uncertainty exists with respect to the regulations that may be promulgated under the PIPES Act and their impact on Company operations?

A. No final rules have yet to be enacted as required by the PIPES Act of 2020. Without seeing the final rulemakings, significant uncertainty exists as to whether such new or modified rulemakings will have an impact on the Company's operations or investments, and to what extent.

Q. How does the Company propose to recover these costs?

A. The Company proposes to defer the costs associated with PIPES Act compliance for recovery in its next rate filing.

Q. Why is it reasonable to defer the costs related to compliance with the PIPES Act for later recovery?

A. As described above, there currently is uncertainty associated with pending DOT regulations enacted in response to the mandates in the PIPES Act. Some of the uncertainties are directly related to the requirements that DOT may include in these new regulations, which are unknown at this time. Other uncertainties (and their related costs) are dependent on the regulations the DOT ultimately adopts.

Q. Can the Company provide an estimate of the costs of these pending regulations?

A. No, the Company does not have a basis to include an estimate. The uncertainties of these pending regulations, including the timeframe of enactment, make it too difficult to develop a cost estimate for the Rate Years.

Q. Please describe the first associated pending rulemaking of the PIPES Act of 2020.

A. PHMSA has issued a Leak Detection and Repair ("LDAR") Notice of Proposed Rulemaking ("NPRM") on May 18, 2023, to address the PIPES Act of 2020 Section 113. This proposed rule seeks to enact regulations which require the detection, classification, and repair of leaks based on pipeline, public and environmental safety risks.

Q. What is the status of the LDAR NPRM?

A. The Final Rule was submitted to the Office of the Federal Register for publication on January 17, 2025. A regulatory freeze implemented by the incoming presidential administration on January 20, 2025, requires that the proposal now be reviewed by a Department of Transportation designee before advancement to publication. This makes the timeline of the publication and the details of its impact on the Company uncertain.

Q. What is the Company's plan to address the LDAR final rule, as it pertains to this rate case proceeding?

A. It is not anticipated that a final rule will be available during the pendency of this rate filing; therefore, the Company will defer the costs associated with the LDAR final rule in the above-described PIPES Act of 2020.

Q. Please describe the second associated pending rule making.

A. The second NPRM associated with the PIPES Act is the Safety of Gas Distribution Pipelines NPRM, which was published on September 7, 2023. This NPRM will address the PIPES Act and Leonel Rondon Act, Sections 202, 203, 204, and 206. This NPRM increases requirements for distribution system safety, including enhanced overpressure protection requirements for regulator stations.

Q. What is the status of this NPRM?

A. Initial comments have been submitted to PHMSA, but a Gas Pipeline Advisory Committee meeting has yet to be scheduled for this proposed rulemaking. PHMSA has not published an anticipated final rule expectation date yet.

Q. How does the Company propose to address the potential costs associated with this proposed rule?

A. It is not anticipated that a final rule will be available during the pendency of this rate filing; therefore, the Company will defer the costs associated with this final rule in the above-described PIPES Act of 2020.

B. RNG Interconnection

Q. How are RNG Interconnection costs handled under the current Gas Rate Plan?

A. In Case 19-G-0066, the Company was required to establish a standard interconnection process for RNG as part of its operating procedures. Under the current Gas Rate Plan, all costs necessary to interconnect local RNG supplies are recovered through the MRA,

up to cap of $10 million capital over the term of the Gas Rate Plan, and the Company will file to incorporate these costs into base rates in the Company's next gas rate filing.

Q. Has the Company incurred any such costs to date?

A. No, it has not.

Q. How does the Company propose to recover RNG interconnection costs going forward?

A. The Company proposes to continue the same recovery mechanism, including the same $10 million cap.

Q. Does this conclude your direct testimony?

A. Yes, it does.